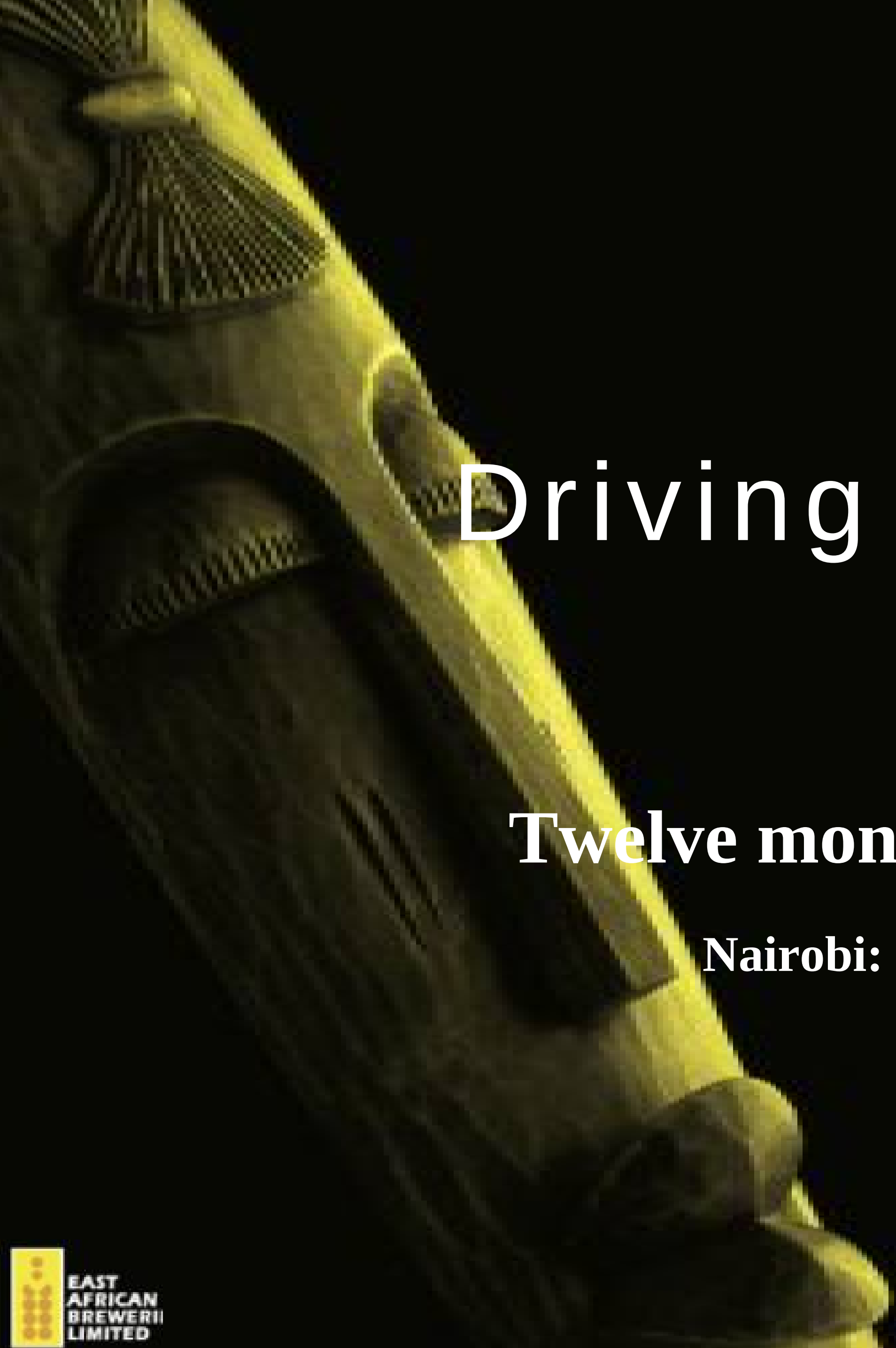


Driving Sustainability

Twelve months to June 2006

Nairobi: 25 August 2006

EAST AFRICAN BREWERIES LIMITED

Business Review

Gerald Mahinda
Group Managing Director

Economic operating environment

Uganda

- Positive macro economics
- **Recently granted significant debt relief by donors**
- Current growth rate down graded to 5.3% due to power situation.
- Consumer credit expansion continuing
- Inflationary pressure from oil and power issues

Kenya

- Current GDP growth rate 5.0%
- All agricultural sectors affected by drought hence consumers purchasing power down
- Inflation drove food prices up to peak at 19% and eased at 10%
- The shilling is still strong against other major currencies putting pressure on exports.
- Interest rates still favourable
- Still a reasonable high level of consumer credit

Tanzania

- Despite the drought economy expected to continue growing at 5.8% but power situation impacting on manufacturing
- Macro economic parameters stable. Shilling now stable, Interest rate lowered.**Granted debt relief by donors**
- Promising future (mineral wealth from oil, gas and gold)

The year in summary…

- **A challenging business environment across the region**
  - World fuel prices dramatically increasing – big cost pressure
  - Drought affecting all countries
    - Human suffering
    - Inflation & power rationing
  - Tax increases at the start and end of the year
  - Anti-alcohol lobby increasingly vocal
  - Increased competition from cheap spirits…different tax structure and huge compliance issues
  - Smoking bans on the horizon – will impact bars, clubs, restaurants…
  - Growth of personal credit – reducing disposable income
  - Huge spend from many consumer goods for share of pocket – cell phones, lottery……
  - Security concerns impacting on consumers drinking behaviour

The year in summary…

- Spirits ….explosion of market driven by low end PET packaged spirit …affected our spirits product mix across the region
- Brilliant execution of marketing campaigns in Uganda saw us take back market leadership with all brands in double digit growth
- Senator a fabulous success offering consumers a safe choice at an affordable price – both in Kenya & Uganda
- Pilsners' launch in Tanzania supported the portfolio in strong growth
- Mainstream brands in Kenya (Tusker & Pilsner) squeezed hard by premium & value ends of the market – a major focus to address for F07
- Shut down of our glass plant for furnace rebuild, paid dividends with fuel & power increases offset to a large extent
- Our malting plant was shut for maintenance for the first quarter and greater demand for barley drove adverse mix…affecting earnings
- Significant up-weight around people capability
- Taxes paid to Govts KSh 18.9 Bn an increase of KSh 1 Bn

EAST AFRICAN BREWERIES LIMITED

Restructuring the organisation...

- The focus of this was twofold:
  - To support growth by increasing our sales coverage
  - To improve our cost base
- What we did
  - Restructured & increased sales headcount in Kenya & Uganda (an effective 3X increase in the field)
  - Streamlined production on the back of capital investments
  - Streamlined support functions across the Group
  - Re-located UDV spirits production closing old site
- What we expect
  - Increased callage & coverage in the field to build partnerships with our customers
  - Significantly greater impact at the point of purchase to drive growth
  - World class benchmark in production per head
  - Cost savings

Headlines…

Volume Beer: 3.8Mhl Spirits: 1.1M 9 litre cases

Growth: Beer: +9% Spirits: +97%

Net Sales Value: Kshs 20.9Bn (+9%)

Marketing spend: Kshs 1.4Bn (+27%)

PBT*: Kshs 9Bn (+10%)

*Excluding restructuring costs

Capex spend: Kshs 2.1B (+72%)

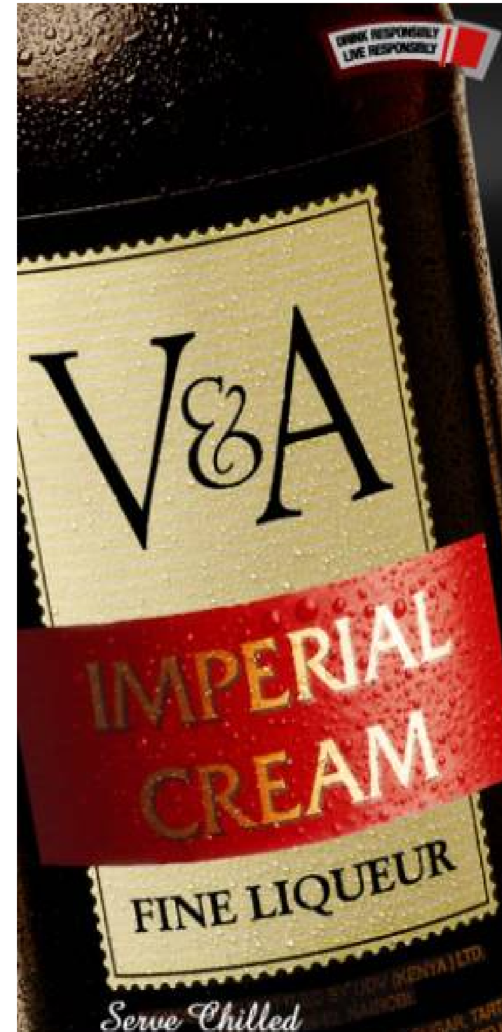
Cashflow: Kshs 6.9Bn (-1.5%)

Innovation/Renovation in beer...

SENATOR
KEG LAGER

EAST AFRICAN BREWERIES LIMITED

Innovation/Renovation in spirits…



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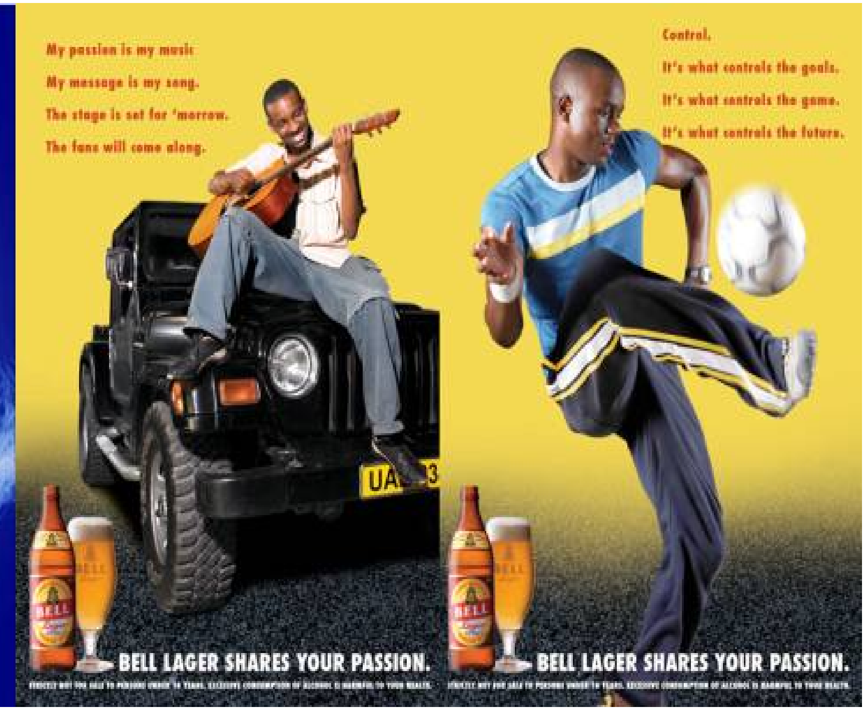
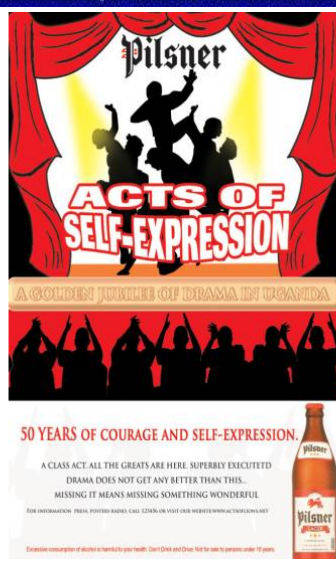
Innovation/Renovation in softs…

Winning consumers in Uganda...





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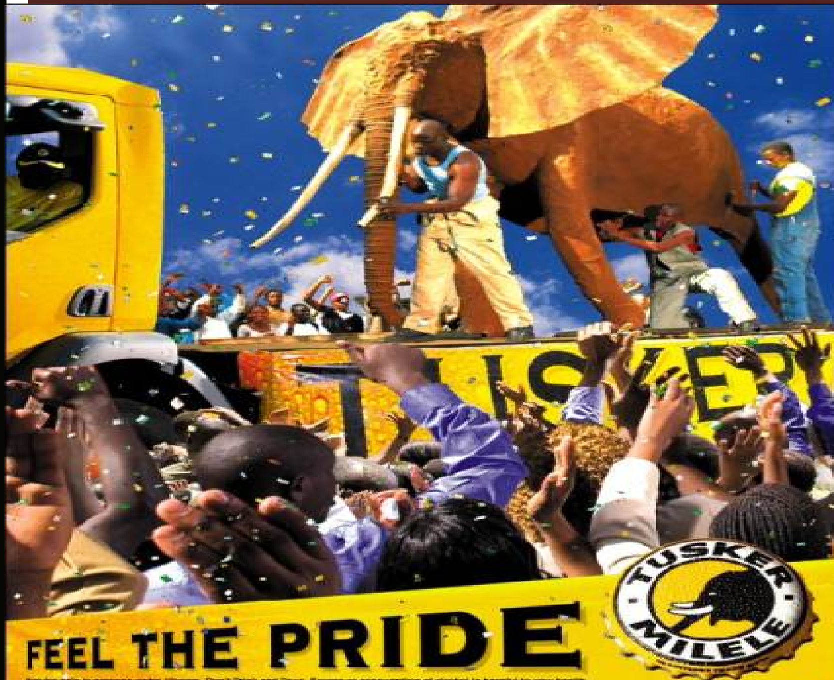
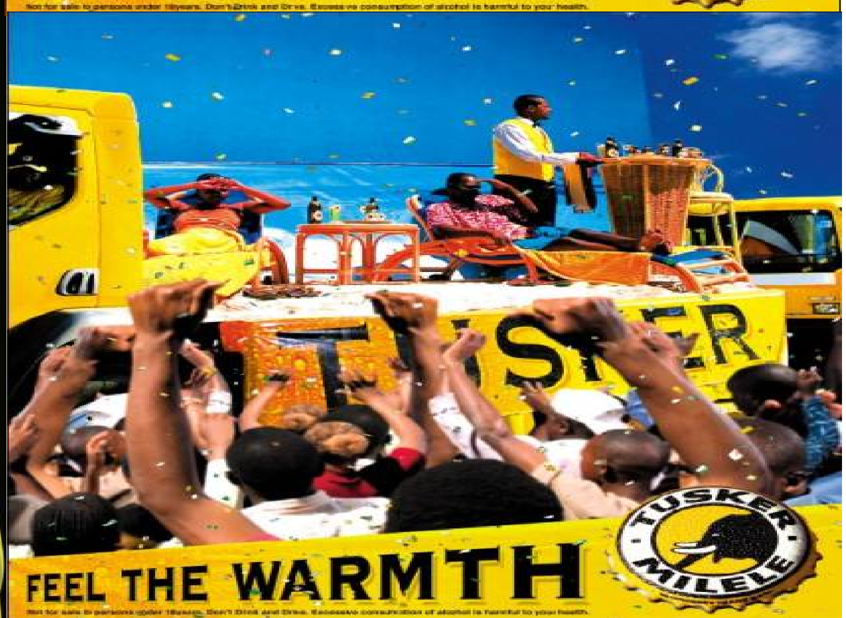
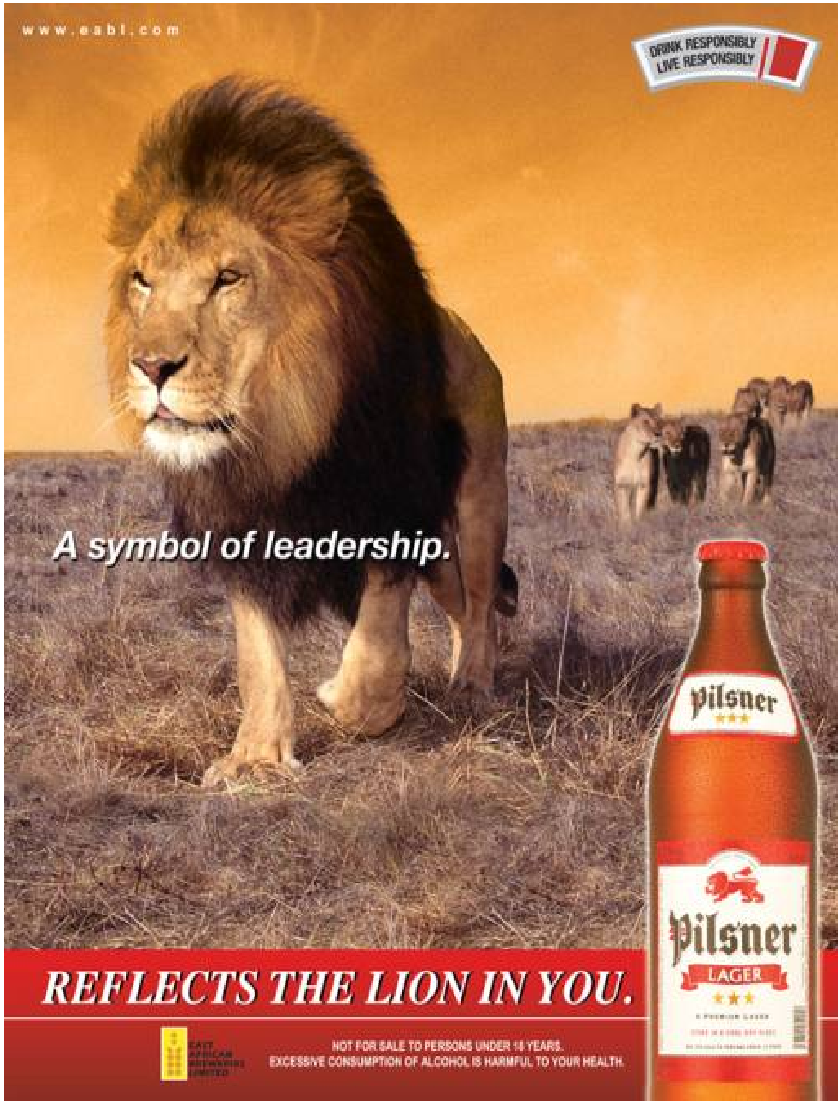
And Kenya...

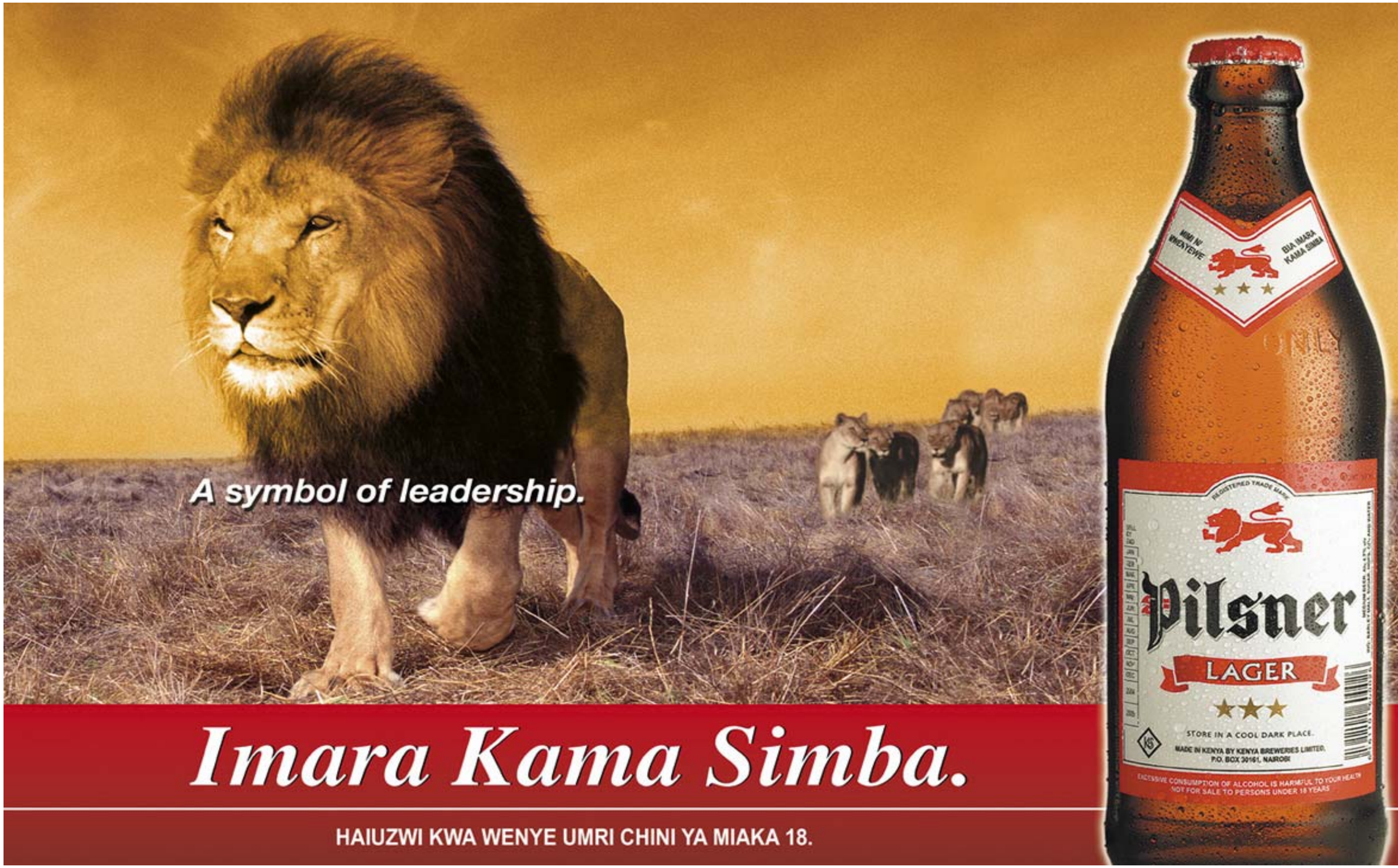






EAST AFRICAN BREWERIES LIMITED

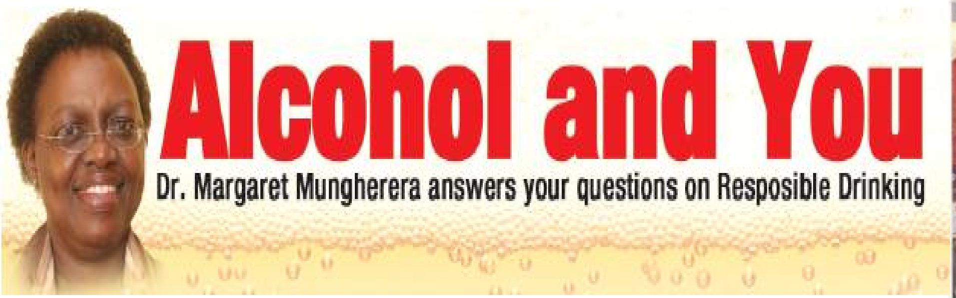
And Tanzania...



Investing for growth & efficiency...

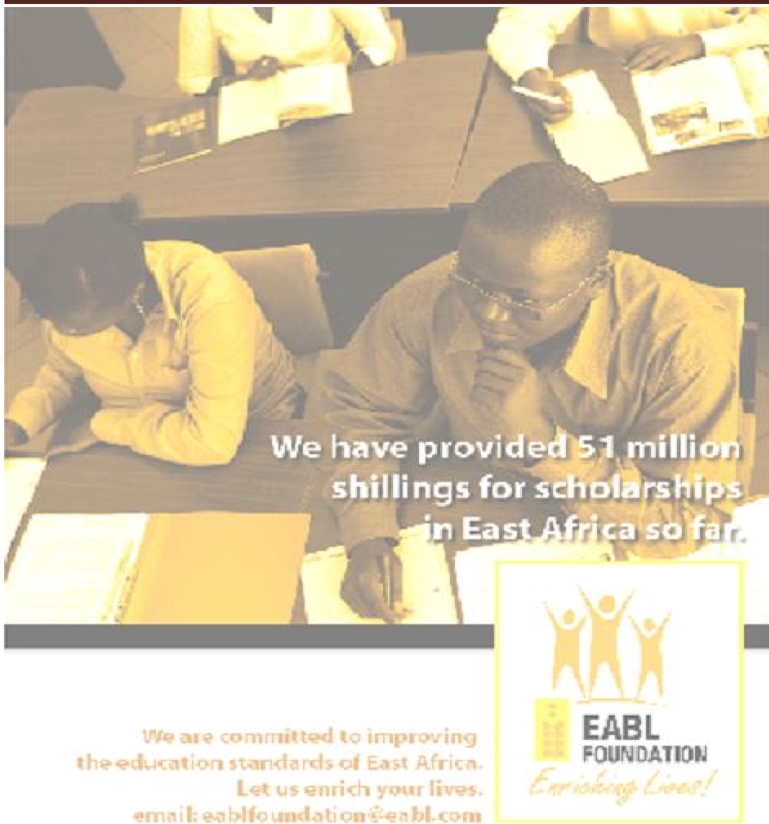
KSh 2.1 Bn = USD 30 M

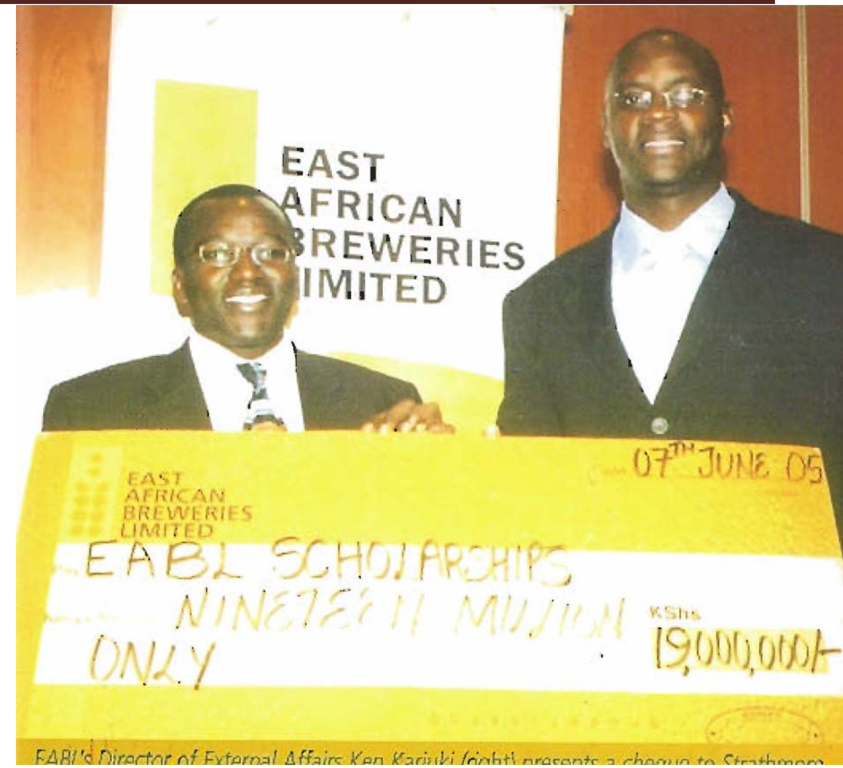
Investing in responsible drinking…



- Held a 1 day forum on prevention of Under age – Stakeholder forum
- National Alcohol Policy workshop in Uganda
- Universities & Colleges Lectures
- Festive season designate driver campaign
- Q & A in newspaper daily's
- Press and Radio Campaign on RD

EABL Foundation, skills for life…



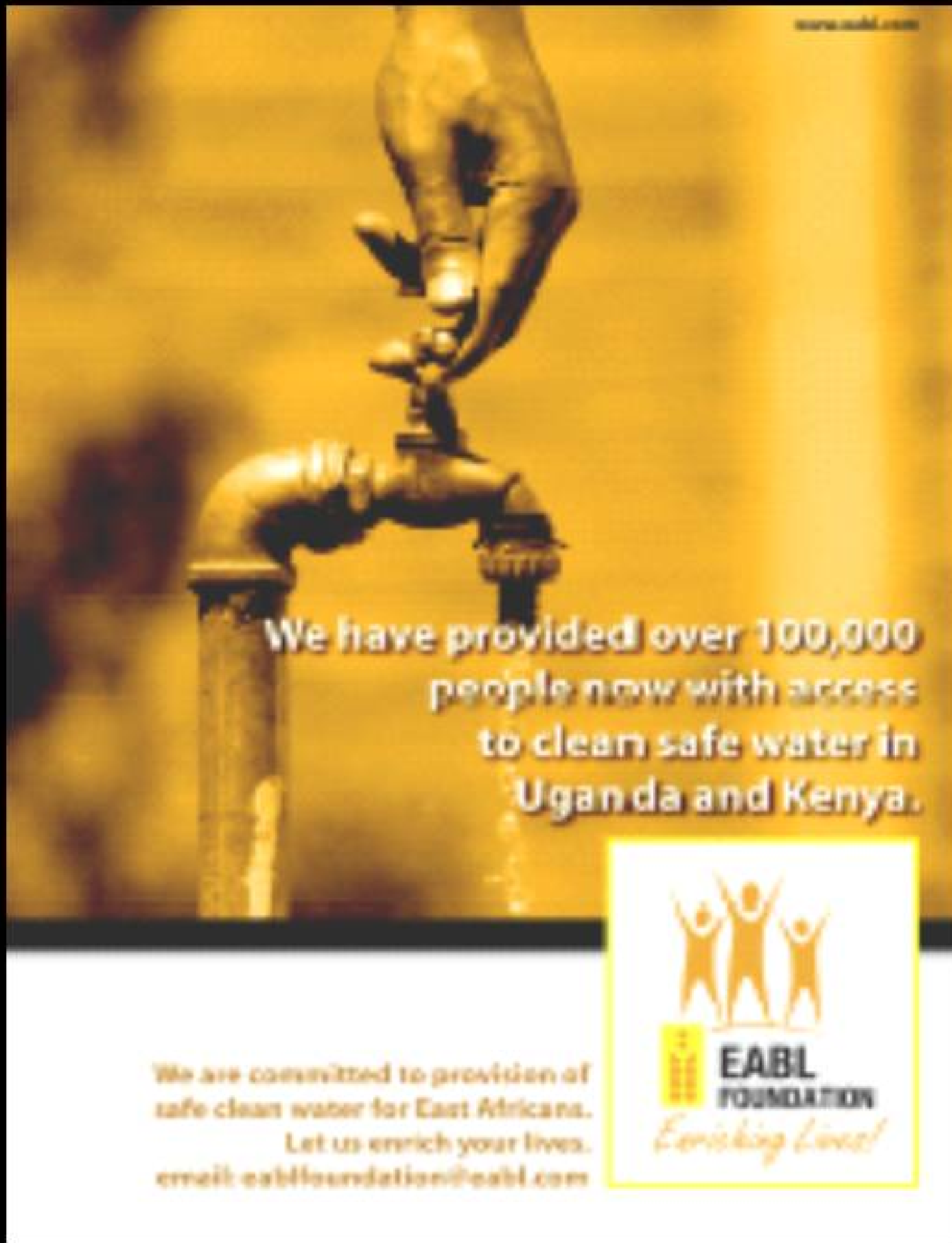


> **Funding of scholarships for students in Kenya, Uganda & Tanzania**

EABL FOUNDATION
Enriching Lives!

EAST AFRICAN BREWERIES LIMITED

EABL Foundation, water of life…



Kabale rainwater harvest project

Ekitangaala borehole

Commissioning of Nzueni & Nyatigo borehole

EABL Foundation, environment...

EABL FOUNDATION
Enriching Lives!

Formation of EABL Green Team.
Staff of different subsidiaries who's mandate and role is to drive an aggressive tree planting exercise continuously in water catchment areas and open land

EABL
GREEN TEAM

EAST AFRICAN BREWERIES LIMITED

EABL Foundation, save a life…

- Relaunched in 2005
- 7.4 mKsh so far dispatched to SALF
- 3.7 mKsh to Kilifi
- 3.7 mKsh to North Eastern

EABL FOUNDATION
Enriching Lives!

EAST AFRICAN BREWERIES LIMITED

Looking forward to F07...

> Our strategy is clear

- > Winning brand propositions for consumers across our heartland territories – Kenya, Uganda & Tanzania
- > Expanding our footprint – across Eastern African and beyond
- > A simpler, better & faster organisation that anticipates & responds to the market
- > Continued investments (ca 30m USD) for efficiency & growth
- > Focus on our core business – complete strategic solutions for our maltings & glass businesses

Our Key Enablers…

- A consumer led organisation with high impact (1.5Bn KSh) marketing campaigns e.g. Fame & 17:59
- Driving premium & mainstream categories
- A significantly enhanced sales organisation with greater coverage & effectiveness building lasting partnerships
- An optimised distribution and logistics network across our business (with automation in place)
- Drive towards “lowest cost producer” status through lower input costs and efficient organisation
- Utilising technology for advantage (SAP, VOIP…)
- One Company One Culture
- Capability building across the Group (doubling spend)

Driving sustainability...

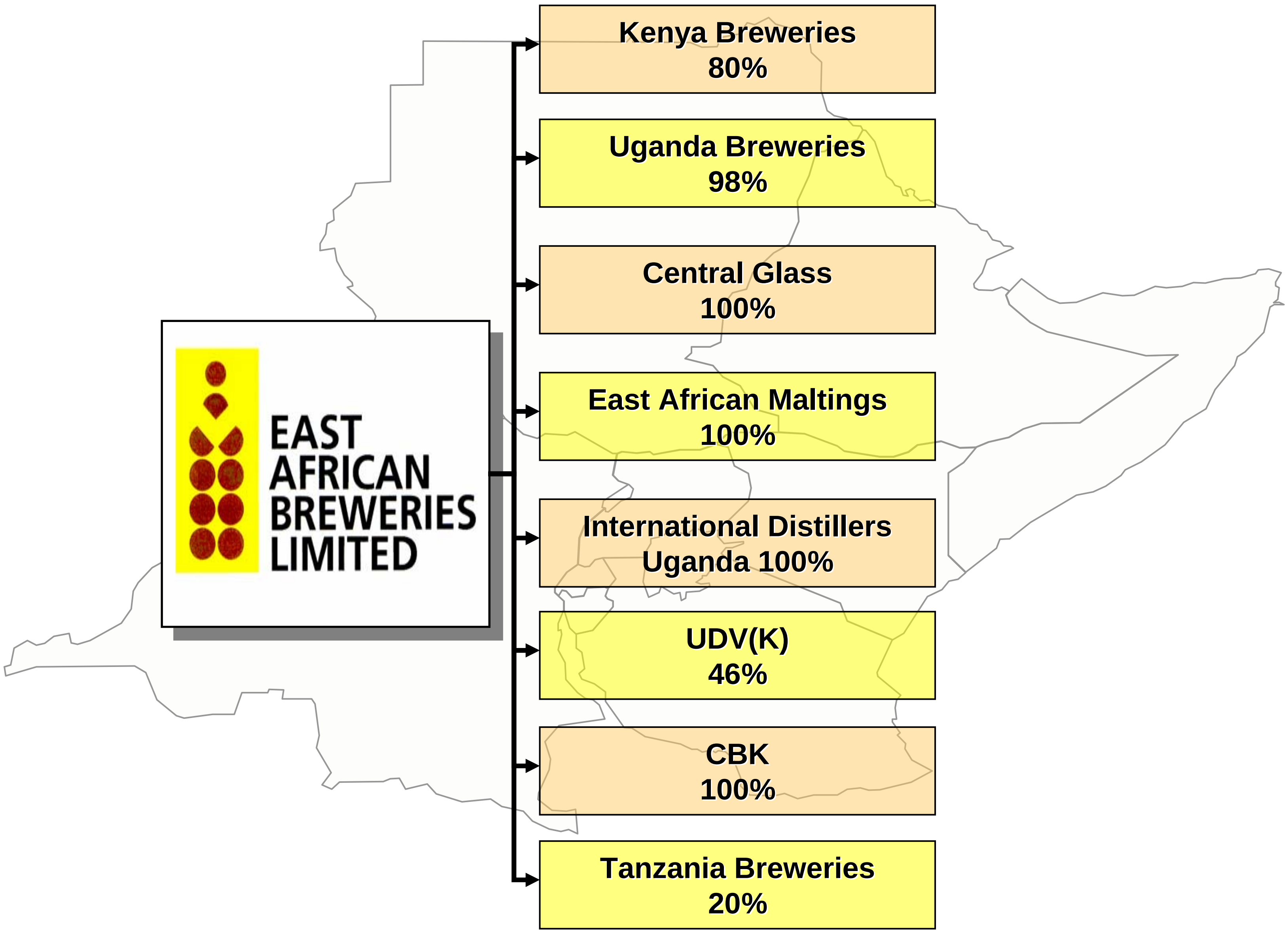
- We have a proven track record of growth
- We are confident that our strategy is delivering and the results support this
- We are confident about our expansion plans
- We look forward to more success in F07

Performance Review

Chris Caldwell
Group Commercial Director

EAST AFRICAN BREWERIES LIMITED

EABL & its footprint...



Headlines...

Volume Beer: 3.8Mhl Spirits: 1.1M 9 litre cases

Growth: Beer: +9% Spirits: +97%

Net Sales Value: Kshs 20.9Bn (+9%)

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*Excluding restructuring costs

Capex spend: Kshs 2.1B (+72%)

Cashflow: Kshs 6.9Bn (-1.5%)

EAST AFRICAN BREWERIES LIMITED

Financial Overview...

Volumes	**20%**
Net Sales Value after deducting excise duties	**9%**
Operating Costs	**6%**
PBT Excl. Restructuring Restructuring costs = KShs 460m	**10%**
PBT After Restructuring	**4%**
Profit After Tax	**11%**
EPS	**13%**

Our portfolio is changing...

- A feature of this financial year was a changing mix (new segments & market dynamics) which impacted margins
- This will be addressed by:
  - Increased spend & focus on mainstream & premium brands
  - Increased prices following the duty increases in the budget
  - Changes in tax legislation

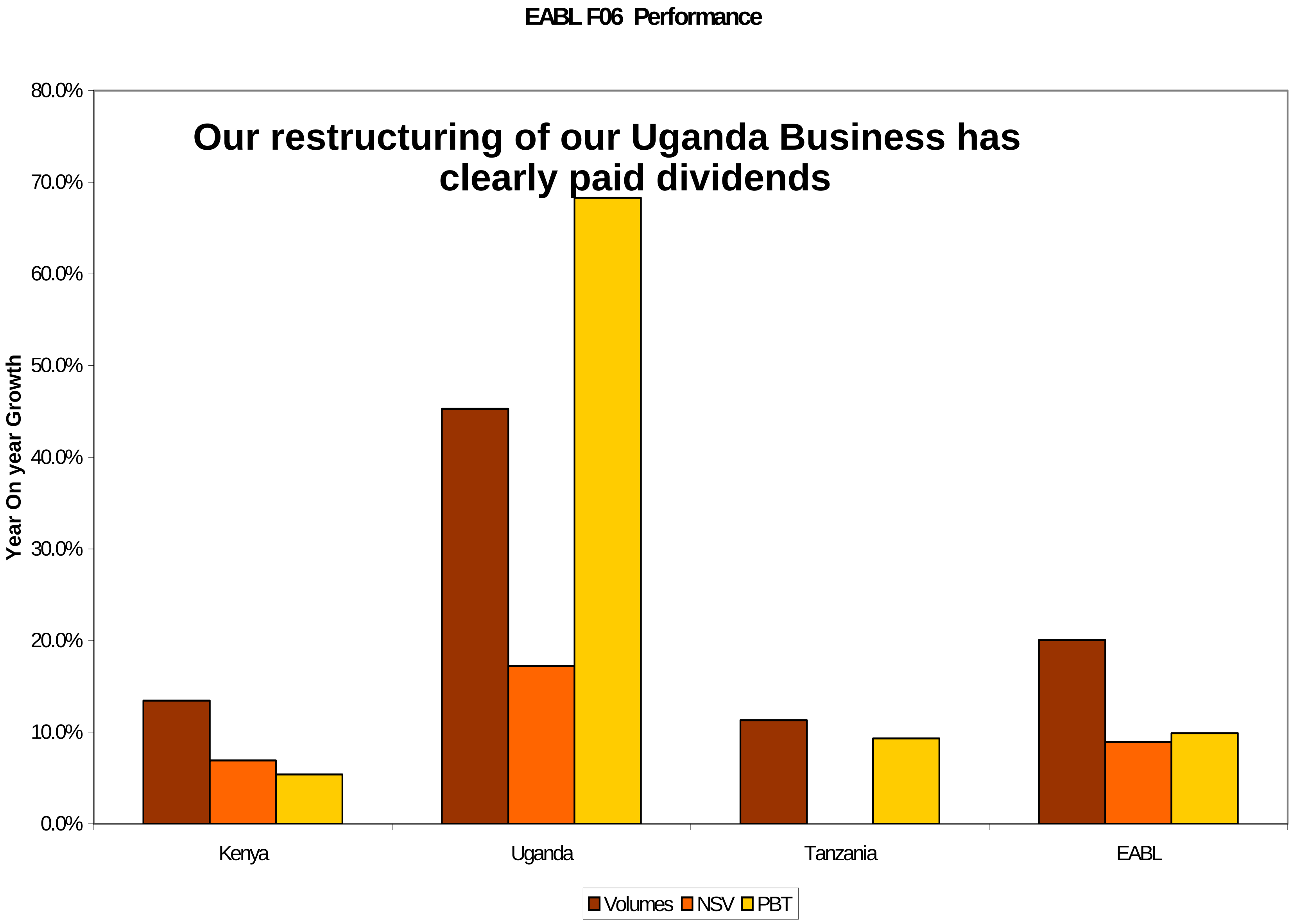
	Volume			Net sales		
	As a % of total EABL volume		Organic growth (%)	As a % of total EABL net sales		Organic growth (%)
	F05	F06		F05	F06	
Beer	86	79	9	86	83	5
RTDs	1	1	57	1	2	57
Spirits	13	20	97	9	11	40
Other				4	4	1
Total			20			9

Creating shareholder value...

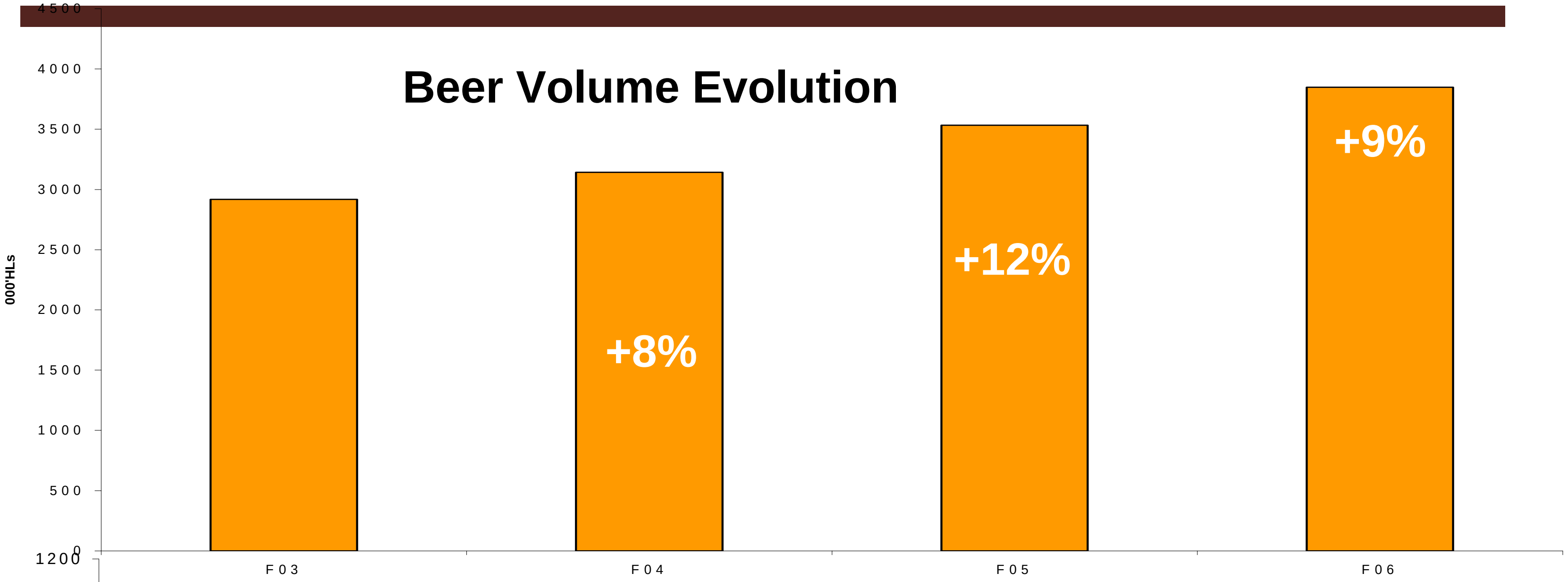
ROIC at 44%	—	0pts
Investment of Ksh 3.5 billion in sales, marketing and capex	▲	Ksh 1.2Bn
Free cash flow Ksh 6.9 bn	▼	Ksh 0.1Bn
Final dividend KSh 4.15 per share	▲	38%
Full Year div. KSh 5.9 per share	▲	31%
EPS Ksh 8.18	▲	13%

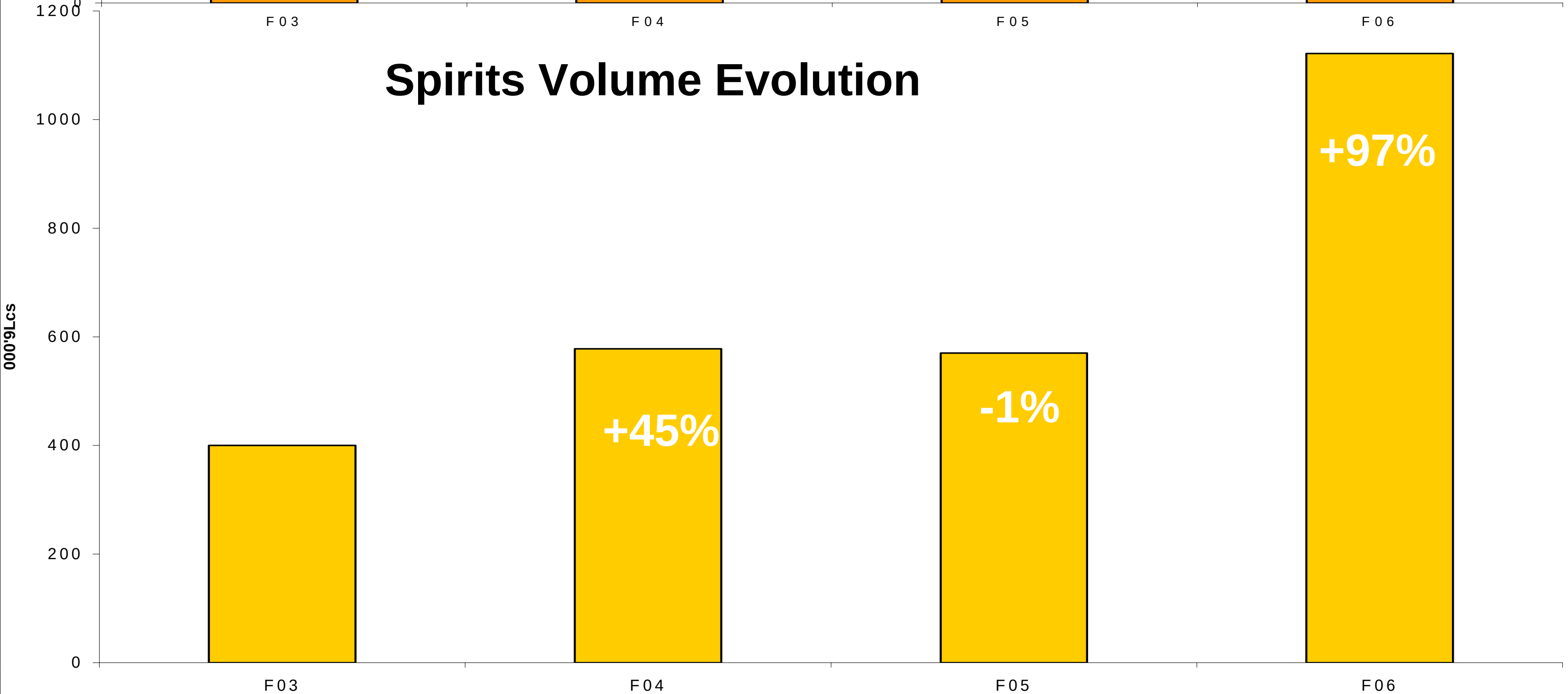
EAST AFRICAN BREWERIES LIMITED

Performance By Country…

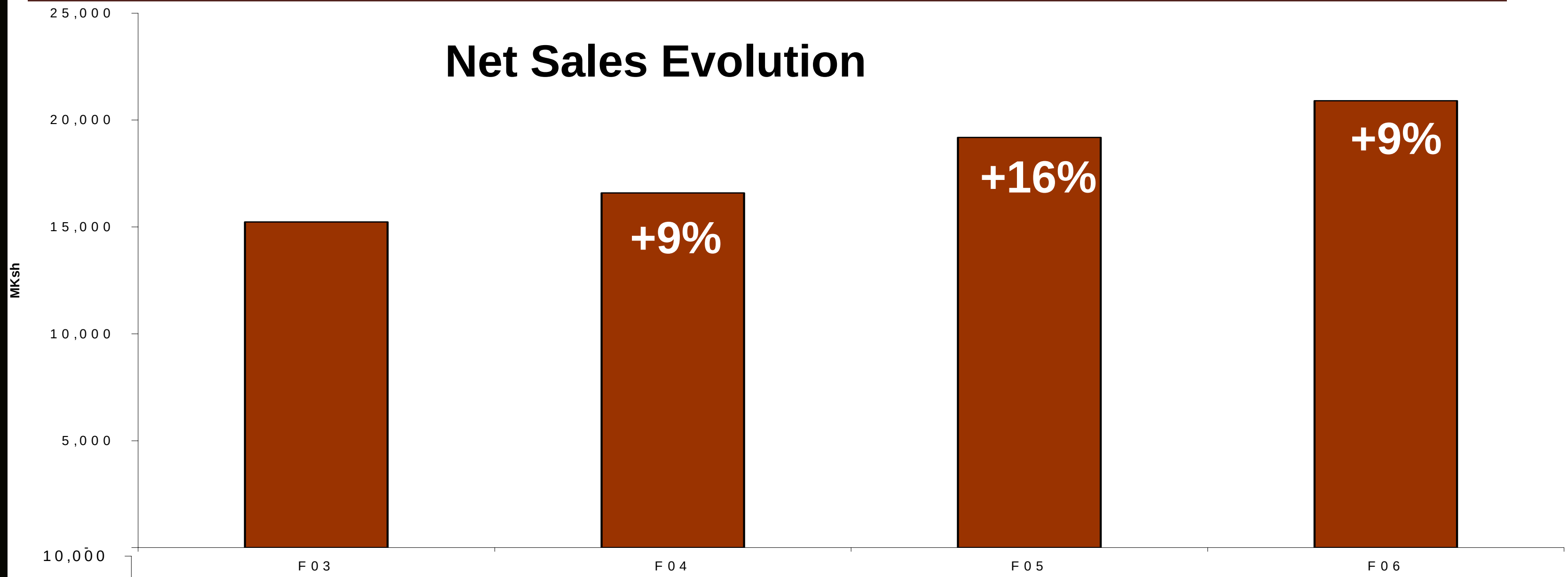


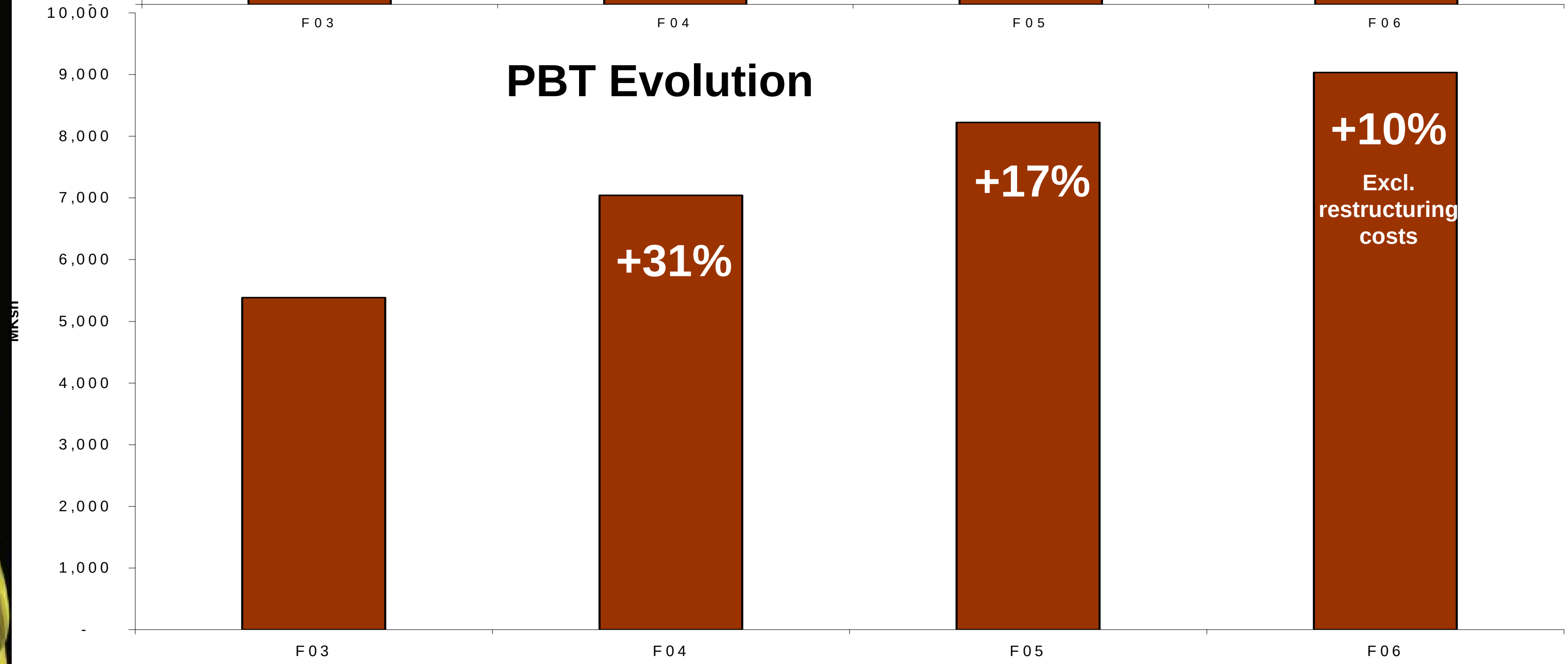
A track record of growth…





And delivering results…





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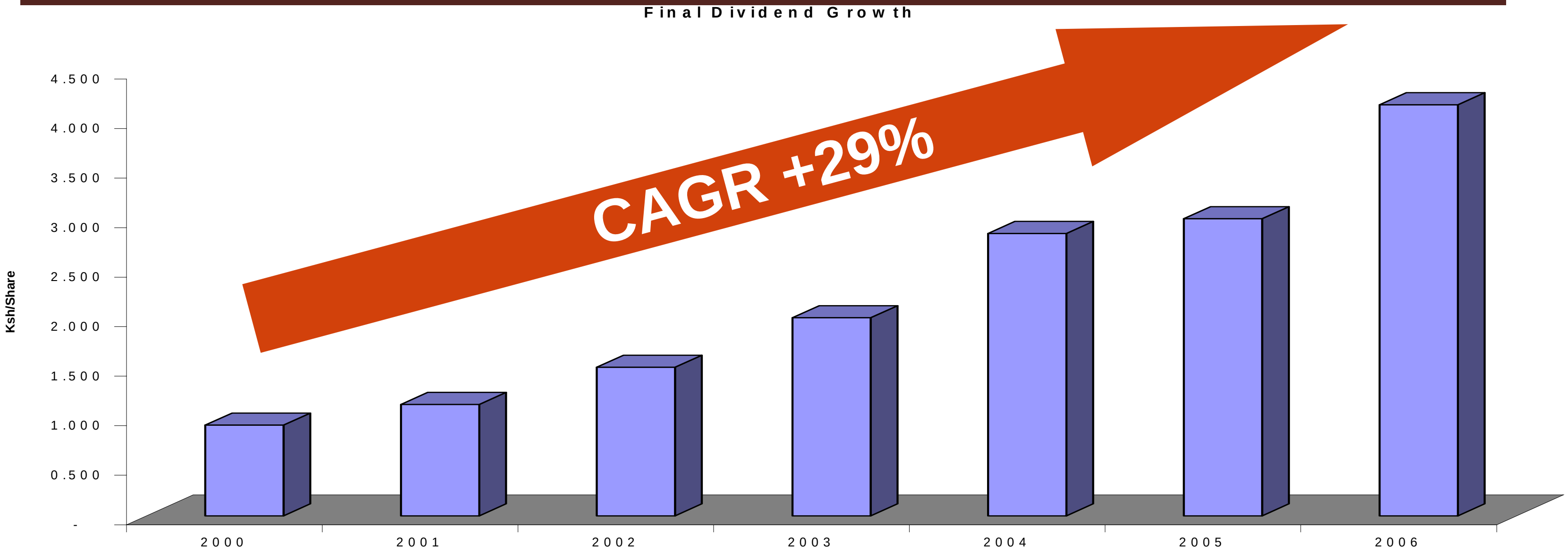
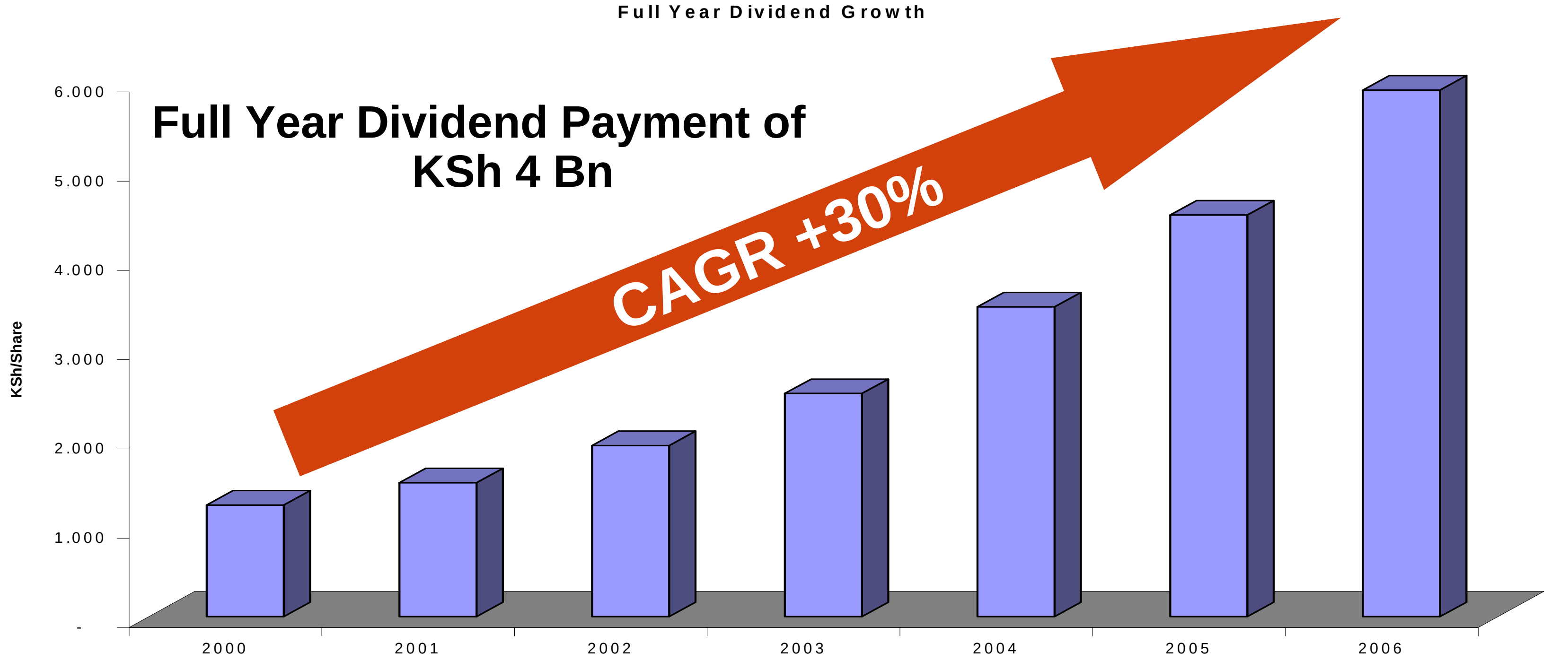
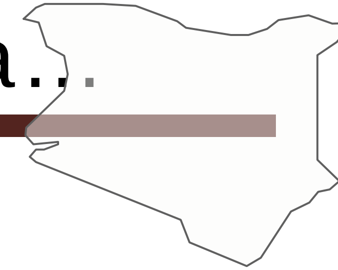
And rewarding shareholders…

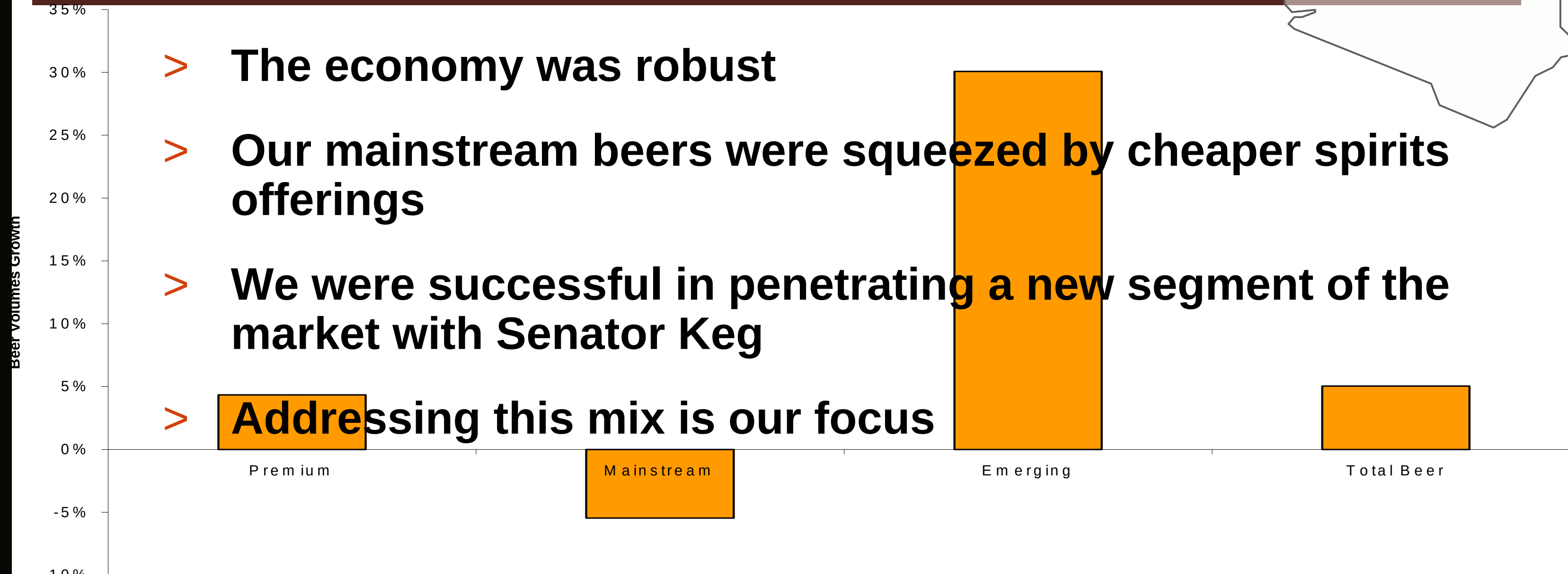




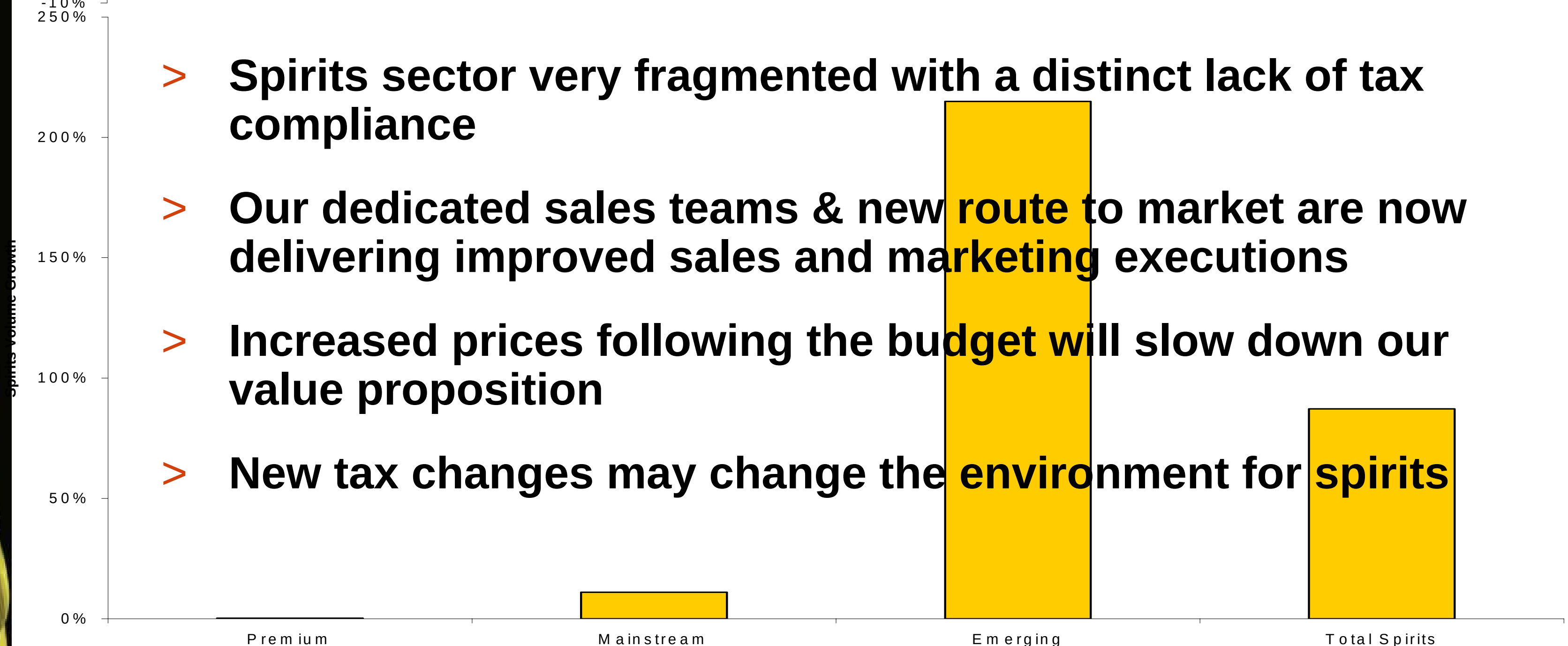
EAST AFRICAN BREWERIES LIMITED

A challenging year in Kenya...





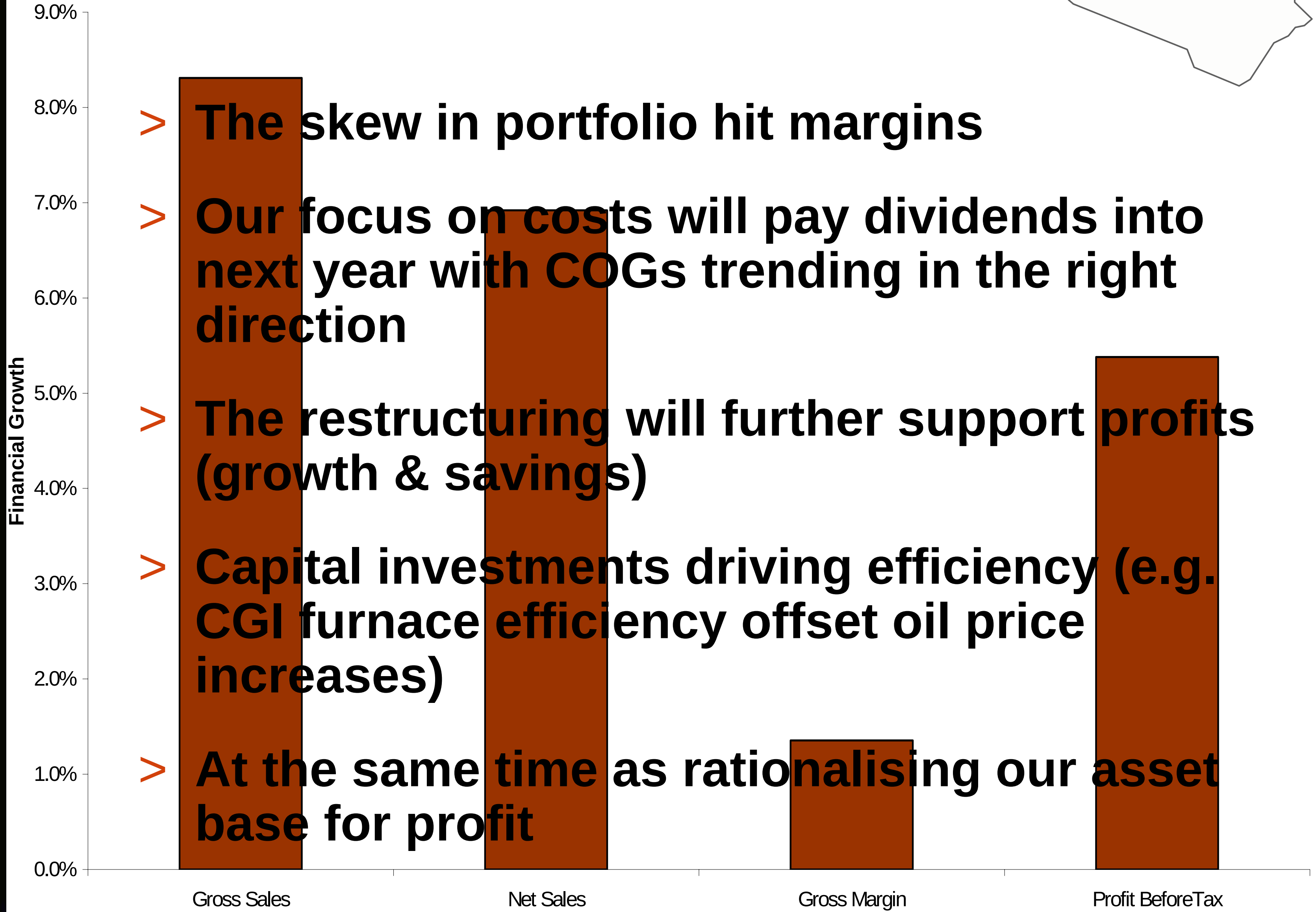
- The economy was robust
- Our mainstream beers were squeezed by cheaper spirits offerings
- We were successful in penetrating a new segment of the market with Senator Keg
- Addressing this mix is our focus



- Spirits sector very fragmented with a distinct lack of tax compliance
- Our dedicated sales teams & new route to market are now delivering improved sales and marketing executions
- Increased prices following the budget will slow down our value proposition
- New tax changes may change the environment for spirits

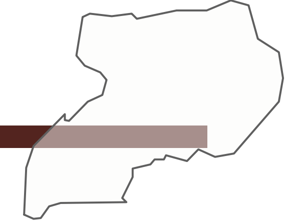
EAST AFRICAN BREWERIES LIMITED

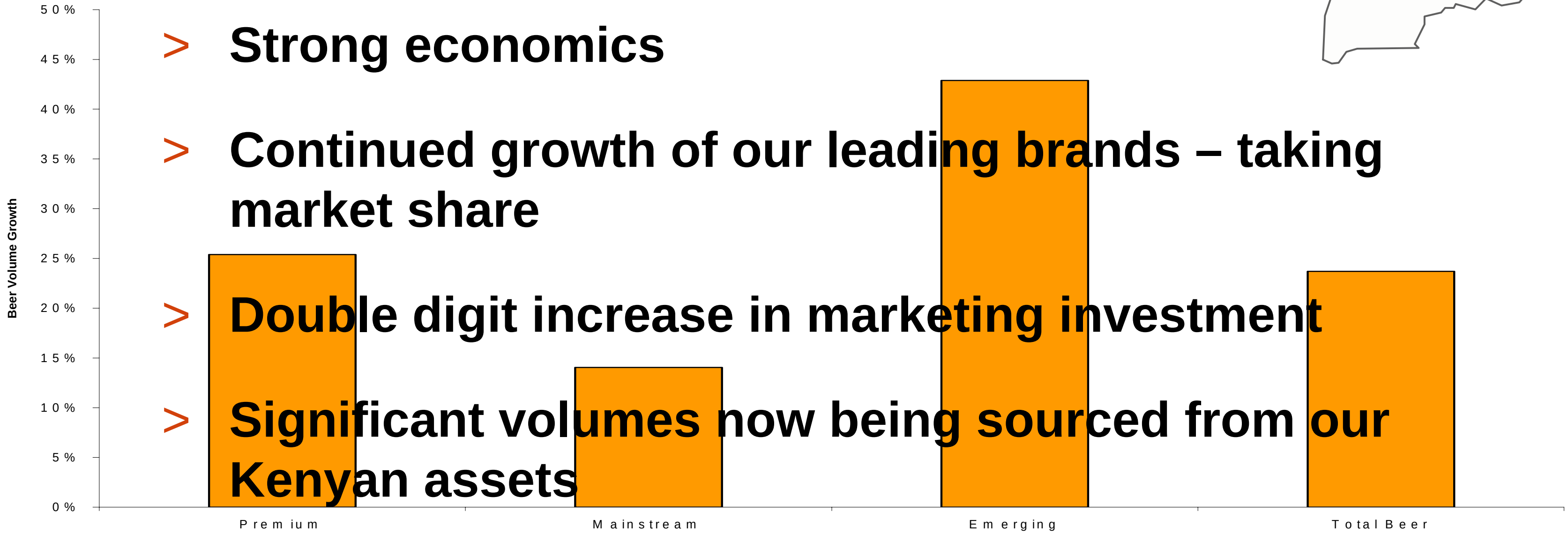
This impacted margins…



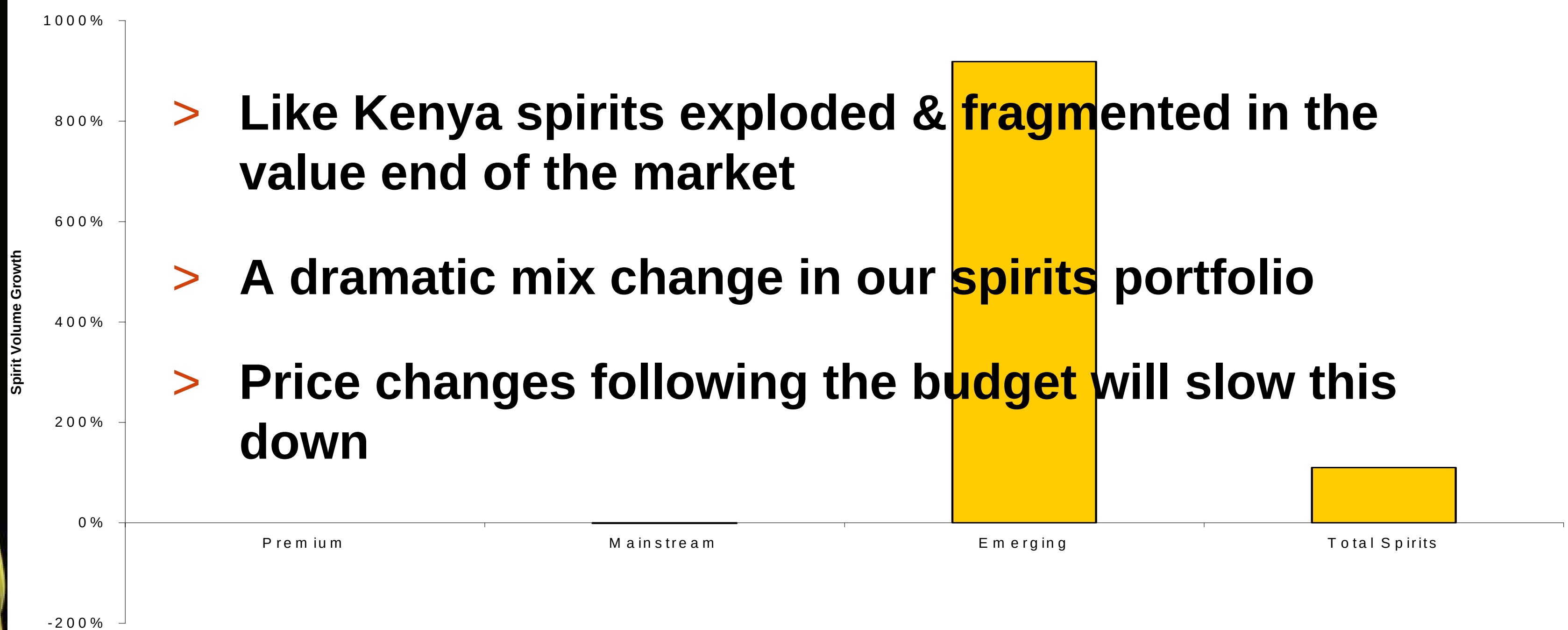
- **The skew in portfolio hit margins**
- **Our focus on costs will pay dividends into next year with COGs trending in the right direction**
- **The restructuring will further support profits (growth & savings)**
- **Capital investments driving efficiency (e.g. CGI furnace efficiency offset oil price increases)**
- **At the same time as rationalising our asset base for profit**

Uganda fared better...





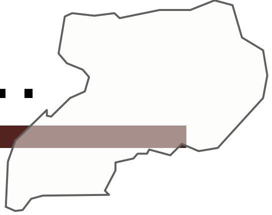
- > **Strong economics**
- > **Continued growth of our leading brands – taking market share**
- > **Double digit increase in marketing investment**
- > **Significant volumes now being sourced from our Kenyan assets**

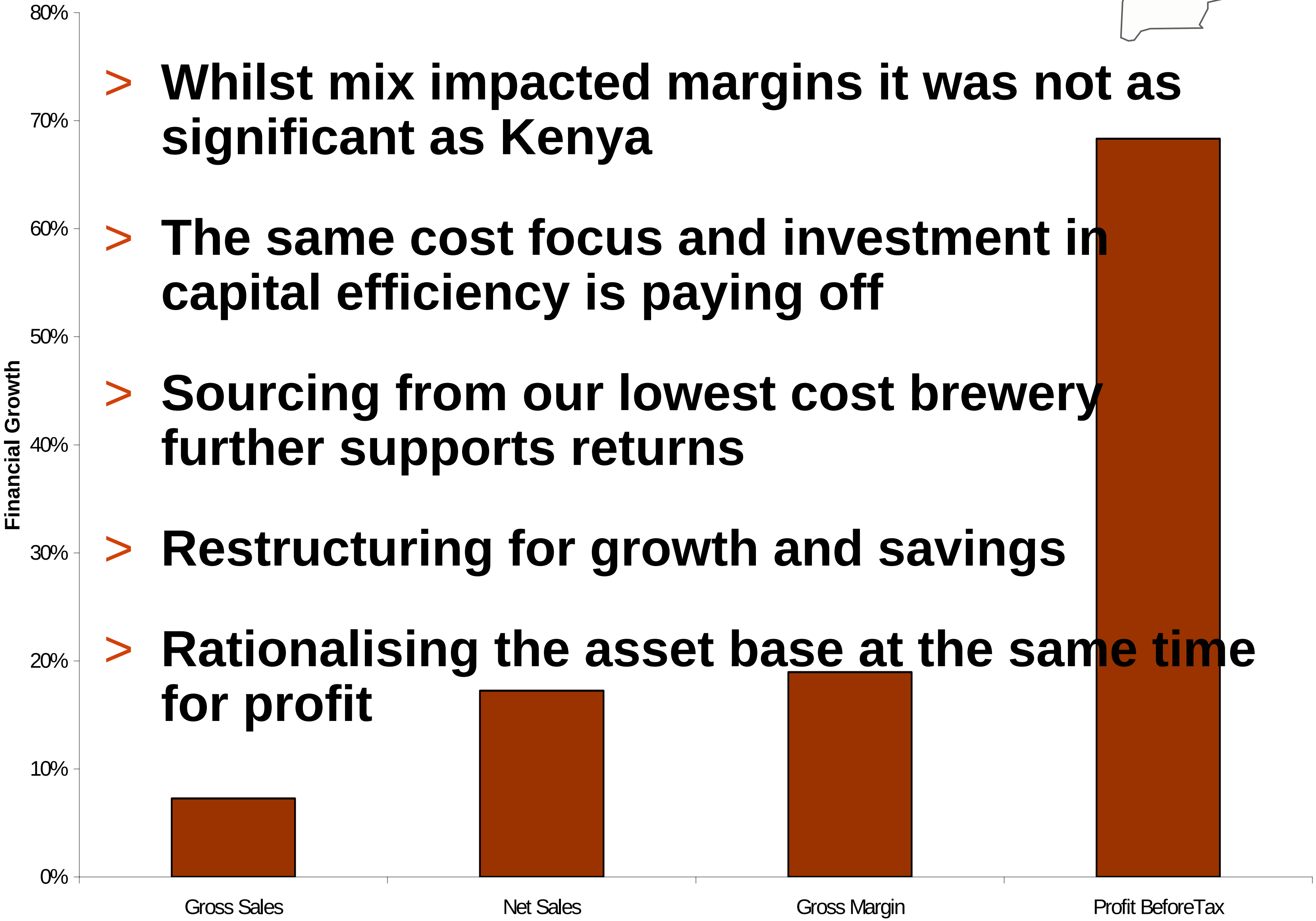


- > **Like Kenya spirits exploded & fragmented in the value end of the market**
- > **A dramatic mix change in our spirits portfolio**
- > **Price changes following the budget will slow this down**

EAST AFRICAN BREWERIES LIMITED

Resulting in dramatic profits…





> **Whilst mix impacted margins it was not as significant as Kenya**

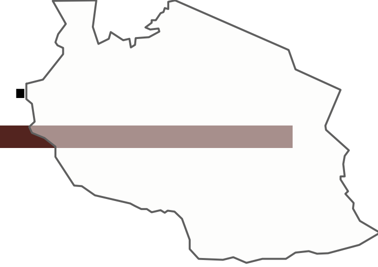
> **The same cost focus and investment in capital efficiency is paying off**

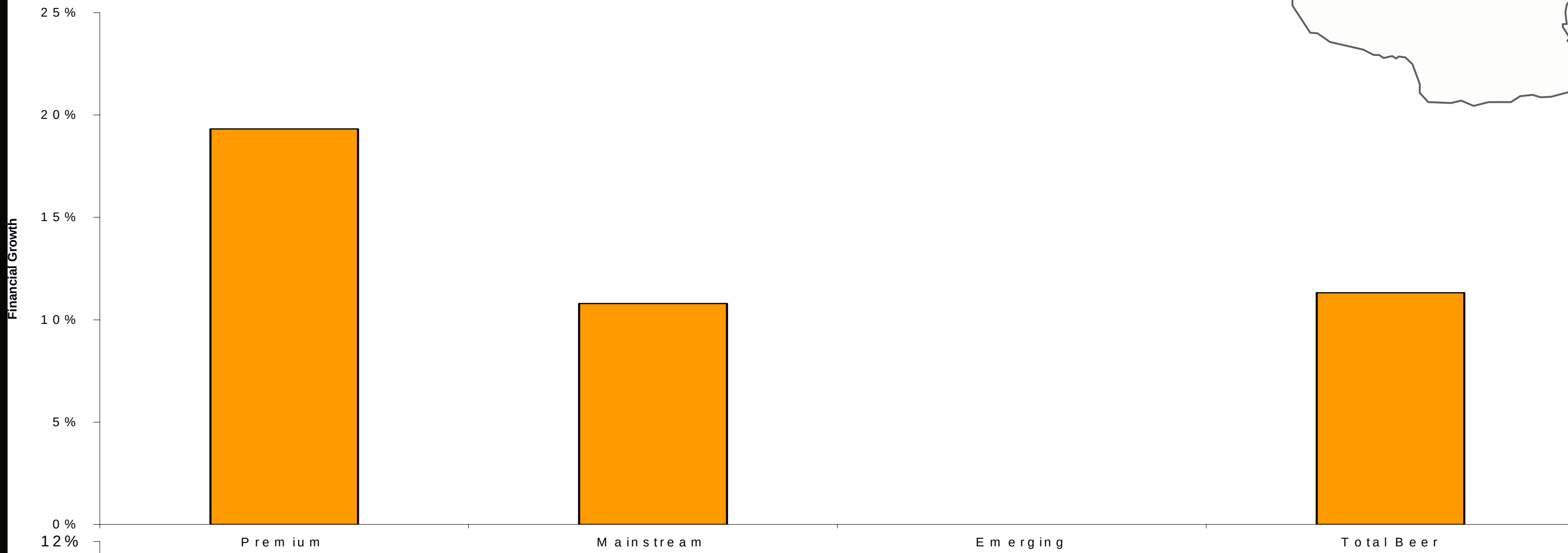
> **Sourcing from our lowest cost brewery further supports returns**

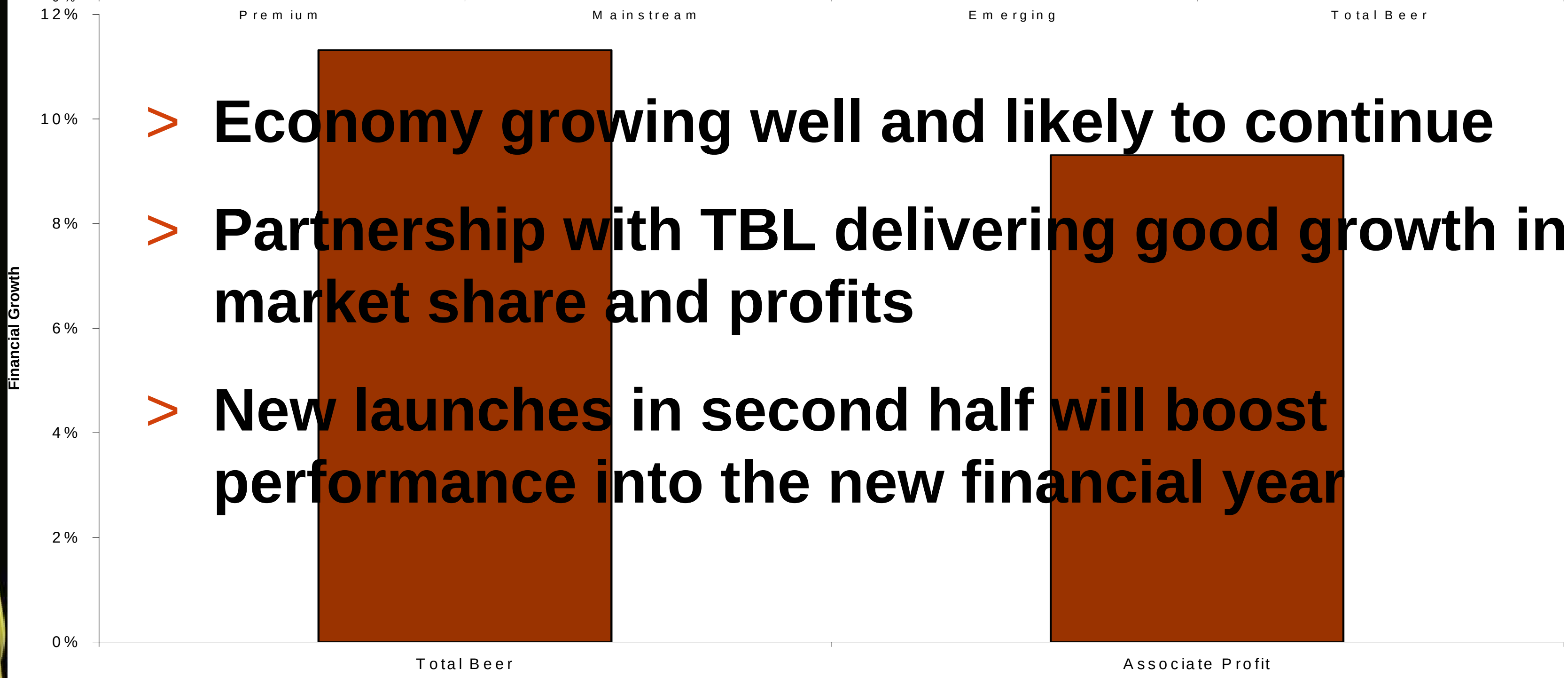
> **Restructuring for growth and savings**

> **Rationalising the asset base at the same time for profit**

No mix issues in Tanzania...







- **Economy growing well and likely to continue**
- **Partnership with TBL delivering good growth in market share and profits**
- **New launches in second half will boost performance into the new financial year**

EAST AFRICAN BREWERIES LIMITED

Headlines…

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Thank You